

EXPORTING THE BEST, KEEPING THE REST

Uruguay's Beef Trade with China and the Cost to Domestic Consumers

February 2025

KEY MESSAGES - China now absorbs roughly 58% of Uruguay's total beef export volume, making it by far the most consequential single buyer in Uruguay's agricultural economy and a source of significant structural dependency. - Domestic beef prices reached US\$10.52 per kilogram in February 2024, a 2.9% year-on-year increase, continuing a longer upward trend that has outpaced wage growth for many Uruguayan households. - Export demand has not lowered domestic prices. It has, instead, redirected the highest-quality cuts toward Chinese buyers, leaving the domestic market with lighter, lower-grade product and a growing share of imported beef that now accounts for approximately 30% of local consumption. - Uruguay's beef sector has become structurally dependent on a single partner. Managing that dependency while protecting domestic consumers has been an underexamined policy challenge.

BEEF, CHINA, AND URUGUAY'S ECONOMY

Beef is Uruguay's most important export. It is the embodiment of the country's comparative advantage: a temperate climate, low-density cattle ranching on natural grasslands, hormone-free and antibiotic-free production, and a national traceability system (SNIG) that tracks every animal from birth to slaughter. Uruguayan beef has consistently commanded export price premiums of 18-34% above regional competitors including Argentina, Brazil, and Paraguay, reflecting genuine product differentiation built over decades.

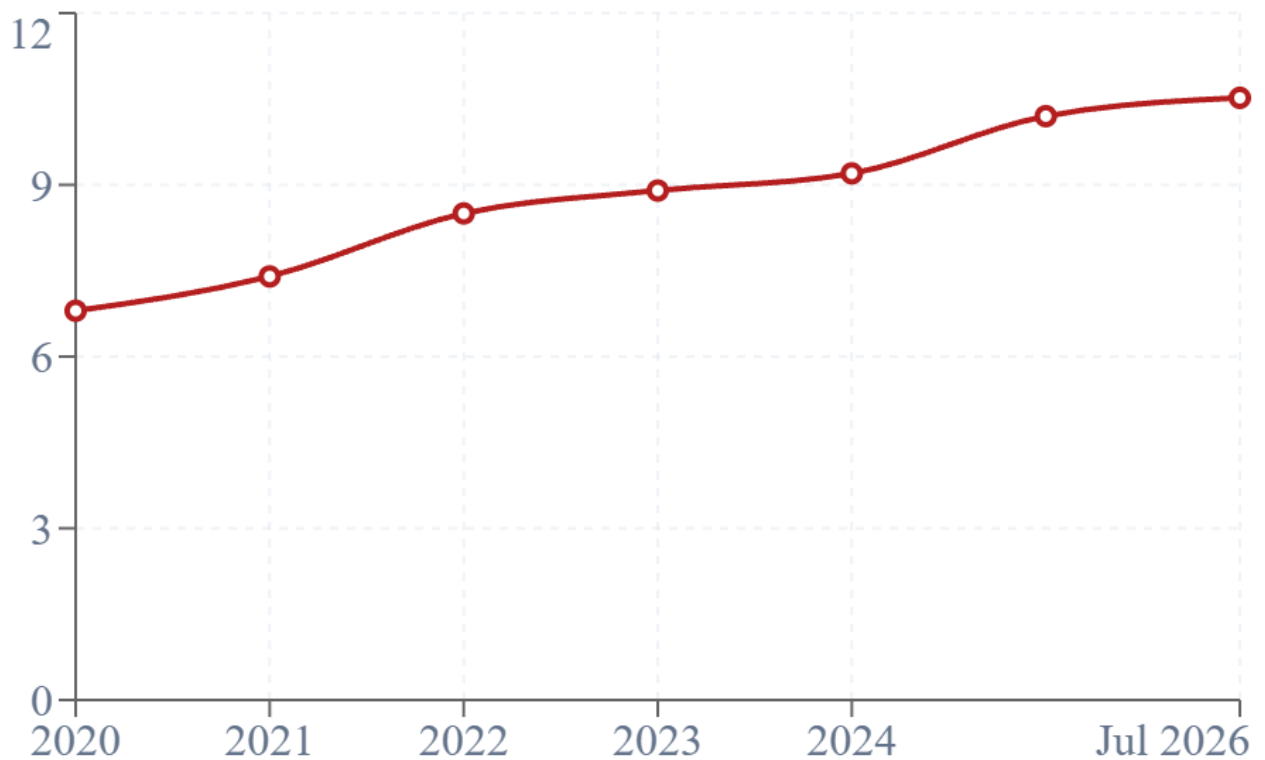
For most of the twentieth century, Uruguay's beef exports were distributed across a range of markets between the European Union, the United States, and various regional buyers. That diversification began to erode decisively in the 2010s as China's middle class expanded and its demand for imported protein surged. By 2023, China accounted for 58% of Uruguay's total beef export volume. By 2025, exports to China exceeded US\$860 million, representing a 14% year-on-year increase and constituting roughly 6% of Uruguay's total GDP when measured against the country's overall economic output.

This is an extraordinary concentration. No other sector of Uruguay's economy is so thoroughly oriented toward a single foreign buyer. And unlike a diversified export relationship, where the loss of one market can be compensated by others, the scale of China's presence in Uruguay's beef economy means that shifts in Chinese demand, regulatory decisions, or geopolitical tensions carry immediate and direct consequences for Uruguayan producers, packers, and -- through a chain of market effects that this brief traces -- ordinary consumers.

THE PRICE TRAJECTORY

Domestic beef prices in Uruguay have followed a trajectory that confounds the intuitive expectation that a world-class producer of the commodity should enjoy abundant, affordable supply at home. As Figure 1 shows, the price trend over recent years has been consistently upward, with domestic prices reaching US \$10.52 per kilogram in July 2026.

Figure 1. Uruguay Domestic Beef Price (USD/kg, 2020-2026)



Source: Selinawamucii.com market data (July 2026); earlier years based on USDA GAIN Uruguay livestock reports and Uruguay XXI trade data. Figures are approximate indicative prices for domestic retail beef.

The relationship between export demand and domestic price is not direct in every year. In 2023 and the first half of 2024, Chinese import prices for Uruguayan beef fell -- the average export price dropped 15% in 2023 and a further 7% in the first half of 2024 -- and meatpackers responded by redirecting product to the domestic market, briefly softening local prices. This shows that the domestic market currently functions as a residual outlet for product that cannot achieve target export prices, not as a market served on its own. When export prices recovered, rising sharply through 2025 and into 2026 with average export prices reaching US\$7,506 per tonne (a 17% increase year-on-year), domestic prices rose with them.

QUALITY DRAIN

Beyond price is the "quality drain". Export demand is concentrated in premium segments and commands prices well above what domestic consumers can or will pay, the best product leaves the country. What remains for domestic consumption is a different, lower-quality selection.

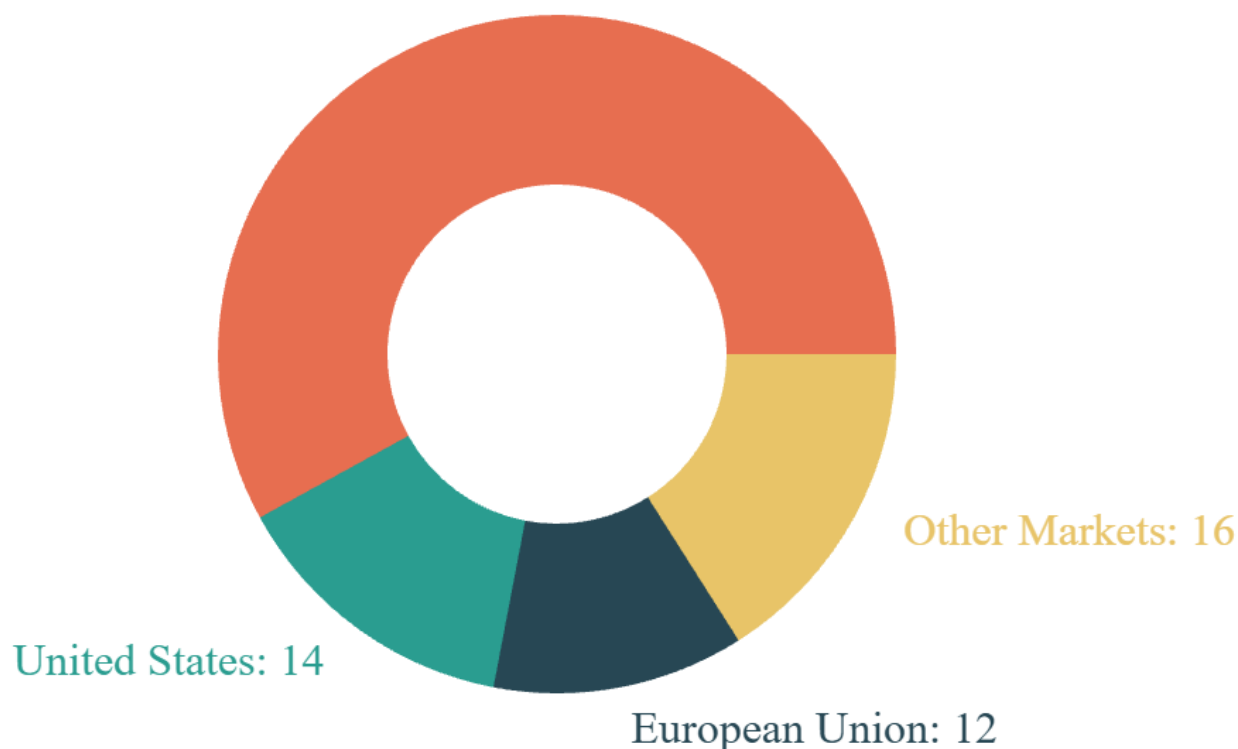
In Uruguay's case, this plays out through several reinforcing channels. Chinese buyers have increasingly moved toward higher-quality cuts, differentiated products, and fully certified premium carcasses. The portions of the carcass that command the lowest export prices -- secondary cuts, offal, lower-grade product -- are disproportionately left for the domestic market.

Meanwhile, lighter carcasses slaughtered at younger ages suggest that efficiency-driven production adjustments are affecting carcass quality across the board. A trend documented in the 2022 Uruguayan Beef Quality Audit alongside high bruising rates of 76.4% of carcasses.

Uruguay's primary staple food has declined in quality locally, in favor of export gains.

To compensate for the gap left by premium product heading overseas, Uruguay imports lower-cost beef -- primarily from Brazil and Paraguay -- which now accounts for approximately 30% of total domestic beef consumption. Uruguayan-produced premium beef, certified under SNIG traceability, hormone-free and grass-fed, flows to Chinese and American tables, while a significant share of what Uruguayan households eat is cheaper imported product from neighbors with less rigorous production standards.

Figure 2. Uruguay Beef Export Destination Share by Volume (2023)



Source: Uruguay XXI, USDA GAIN Report UY2024-0003. Shares by volume (carcass weight equivalent). US share reflects strong value performance; China's share fell to approximately 42% by Q1 2024 before recovering in 2025.

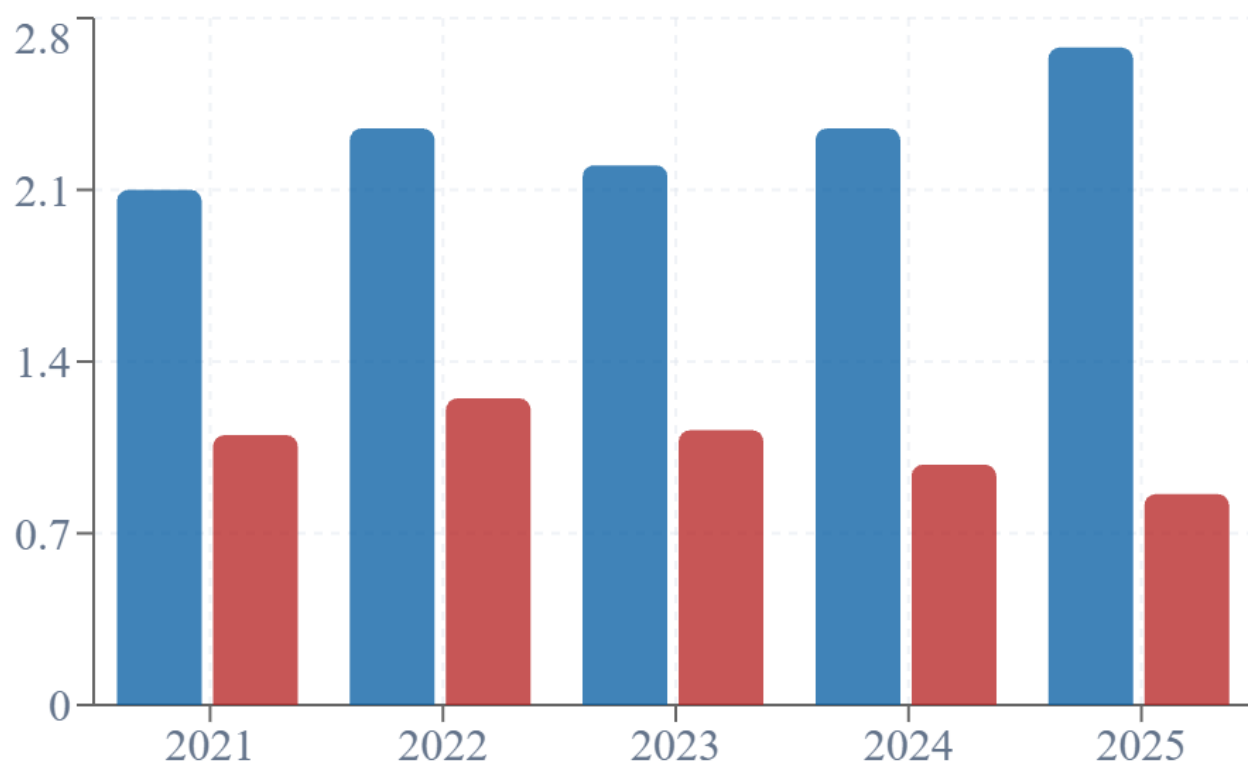
A DEPENDENCY

A country generating US\$2.68 billion in annual beef exports (2025) with 58% of volume directed at a single market is not operating from a position of commercial strength. Although Uruguay's diversified export market grants it resilience, this can be a major vulnerability.

China's beef import policy is shaped by considerations that do not take Uruguay's interests into account: domestic agricultural politics, bilateral diplomatic tensions, sanitary and phytosanitary decisions, and the competitive positioning of other beef-exporting nations including Australia, Brazil, and Argentina. A regulatory suspension of Uruguayan plants, which China has applied to individual exporters in the past, or a shift in Chinese purchasing patterns toward competitor suppliers would remove the market for more than half of Uruguay's total beef export volume with little notice and few alternatives ready to absorb the shock.

This dependency grants China significant pricing power over Uruguayan exporters. When Chinese buyers reduce purchase prices, as they did in 2023, Uruguayan meatpackers scramble to find alternatives. They cannot easily redirect premium volume to the EU, which operates under separate and demanding certification regimes. They cannot rapidly expand US market share. The domestic market absorbs the overflow at whatever price it will bear. The asymmetry of this relationship is the defining structural feature of Uruguay's beef economy.

Figure 3. Uruguay Beef Export Value to China vs. Total Beef Export Value (USD billion, 2021-2025)



Source: Uruguay XXI; USDA GAIN reports; DatamarNews (2026). China figures for 2025 reflect the US\$860M+ reported value. Total export figures include all beef and beef products.

IMPLICATIONS FOR POLICY

The challenge Uruguay faces is not that beef exports to China are wrong. The revenue, employment, and foreign exchange earnings generated by the sector are real and significant. The challenge is that the current configuration of the beef economy produces outcomes that systematically disadvantage domestic consumers: rising prices, a narrowing domestic supply of premium product, and growing dependence on lower-cost imported beef to fill the gap. These outcomes are not inevitable consequences of export success -- they are the result of policy choices, or the absence of them.

Establish a domestic supply reserve mechanism. Several beef-exporting nations have experimented with mechanisms that require a portion of production to be made available to domestic markets at regulated or reference prices before export quotas are met. Uruguay's political economy has historically been resistant to such interventions, but the sustained pressure on domestic affordability provides a basis for revisiting this position. A light-touch reserve requirement applied to specific cuts with the highest domestic consumption weight need not significantly disrupt export volumes.

Accelerate market diversification away from China. The EU-Mercosur agreement, discussed in the accompanying brief on trade policy, opens European market access that could absorb a meaningful share of current China-directed volume. The United States has become a growing destination for high-value Uruguayan beef, and active diplomatic and commercial investment in market development there and in other premium-segment markets would reduce the concentration risk that currently leaves Uruguay's export economy exposed. Some options include Japan, South Korea, and the Gulf states.

Use Uruguay's certification advantage to command price premiums, not volume. Uruguay's SNIG traceability system, hormone-free production, and grass-fed certification are genuine competitive assets that most competing suppliers cannot match at scale. The strategic direction for Uruguay is not to compete on volume with Brazil or Australia. Instead, it must deepen its positioning in premium and branded segments where quality differentials translate into price premiums that are larger and more durable. That means actively investing in branded Uruguayan beef in China and other markets, rather than selling undifferentiated commodity volume at whatever price the market offers.

Protect and enforce domestic quality standards for imported beef. If 30% of domestic beef consumption consists of imports, the standards to which those imports are held directly affect what Uruguayan households eat. Rigorous enforcement of sanitary and quality standards for imported product -- not as a trade barrier, but as a genuine consumer protection measure -- is a prerequisite for ensuring that the quality gap between exported and domestically consumed beef does not widen further.

Sources: USDA Foreign Agricultural Service, GAIN Report -- Uruguay Livestock and Products Annual (2024); Uruguay XXI, Export Data and Trade Reports (2025); DatamarNews, Uruguay Meat Export Statistics (2026); Selinawamucii.com, Uruguay Beef Price Data (July 2026); VoxDev, "How Uruguay's Beef Exports to China Reshaped Its Economy"; Yale University Economics Working Paper, "Beefing Up the Service Sector" (2025); 2022 Uruguayan Beef Quality Audit.

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